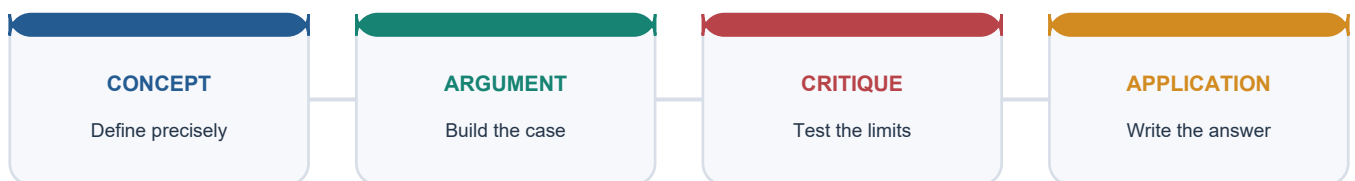


SOLVED PRACTICE WORKBOOK

APMC, e-NAM, FPOs and Agricultural Supply Chains - Solved Practice Workbook

Economy | UPSC Prelims and GS-III

LEARNING PATH



Deterministic fallback visual: move from precise concepts through argument and critique to exam application.

Source order: repository knowledge -> official current linkage -> clearly marked analysis. No fabricated PYQs or statistics.

CONTENTS / WORKBOOK INDEX

Major learning parts and meaningful subtopics are listed in document order. Page numbers are generated from the final PDF layout; PDF bookmarks mirror the same hierarchy.

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APMC, e-NAM, FPOs and Agricultural Supply Chains - Solved Practice Workbook

Exactly 32 original questions appear before PYQs. Correct answers rotate A -> B -> C -> D eight times.

BASIC MCQS / REMEDIATION

MCQ 1

Which sequence best represents an agricultural marketing chain?

A. Farmgate, aggregation, assaying, price discovery, settlement, storage or movement, and buyer. B. MSP announcement followed automatically by universal procurement. C. Only production followed by household consumption. D. Only online bidding followed by export.

Answer: A.

Option-wise explanation:

- **A - Correct:** It preserves physical, information and payment stages. The option states: Farmgate, aggregation, assaying, price discovery, settlement, storage or movement, and buyer.
- **B - Incorrect:** MSP and procurement belong to a public-support chain. The option states: MSP announcement followed automatically by universal procurement.
- **C - Incorrect:** Marketing contains several post-harvest functions. The option states: Only production followed by household consumption.
- **D - Incorrect:** Digital bidding is only one possible stage. The option states: Only online bidding followed by export.

Examiner trap 1: A chain is more than the visible sale.

MCQ 2

Which statement correctly distinguishes supply chain from value chain?

A. They are legally identical terms under every APMC Act. B. A supply chain maps flows; a value chain also studies value creation, governance and margin distribution. C. A value chain excludes logistics and payment. D. A supply chain measures only farmer profit.

Answer: B.

Option-wise explanation:

- **A - Incorrect:** No uniform statutory identity exists. The option states: They are legally identical terms under every APMC Act.
- **B - Correct:** The distinction separates operations from value capture. The option states: A supply chain maps flows; a value chain also studies value creation, governance and margin distribution.
- **C - Incorrect:** Value analysis includes rather than excludes operations. The option states: A value chain excludes logistics and payment.
- **D - Incorrect:** Supply chains map more than one income measure. The option states: A supply chain measures only farmer profit.

Examiner trap 2: Efficiency does not guarantee equitable value sharing.

MCQ 3

A primary agricultural market is best understood as:

A. The final statutory court for market disputes. B. Only an export terminal at a seaport. C. A local assembly point where farmers or aggregators first bring produce into organised trade. D. A national electronic exchange without produce.

Answer: C.

Option-wise explanation:

- **A - Incorrect:** Dispute institutions are separate. The option states: The final statutory court for market disputes.
- **B - Incorrect:** Terminal and primary functions differ. The option states: Only an export terminal at a seaport.
- **C - Correct:** Its central function is first-stage assembly and exchange. The option states: A local assembly point where farmers or aggregators first bring produce into organised trade.
- **D - Incorrect:** Physical and institutional trade cannot be assumed away. The option states: A national electronic exchange without produce.

Examiner trap 3: Market-level labels describe functions, not one uniform legal ladder.

MCQ 4

Why is assaying important for distant bidding?

A. It guarantees that every bid will settle. B. It fixes the government support price. C. It removes all sampling and dispute risk. D. It provides a credible, test-based quality description that remote buyers can price.

Answer: D.

Option-wise explanation:

- **A - Incorrect:** Settlement still needs payment and delivery. The option states: It guarantees that every bid will settle.
- **B - Incorrect:** MSP is an administered policy price. The option states: It fixes the government support price.
- **C - Incorrect:** Testing protocols retain error and challenge risk. The option states: It removes all sampling and dispute risk.
- **D - Correct:** Remote buyers need a verifiable quality basis. The option states: It provides a credible, test-based quality description that remote buyers can price.

Examiner trap 4: Assay result is evidence, not a universal guarantee.

MCQ 5

Which statement about APMC law is correct?

A. APMCs operate under applicable State marketing laws whose notified produce, areas, licences and fees vary. B. Parliament enacted one uniform APMC Act for all States. C. e-NAM automatically repealed every APMC statute. D. CCI directly administers all market yards.

Answer: A.

Option-wise explanation:

- **A - Correct:** Agricultural-market architecture is State-shaped. The option states: APMCs operate under applicable State marketing laws whose notified produce, areas, licences and fees vary.
- **B - Incorrect:** No single central APMC Act governs every State. The option states: Parliament enacted one uniform APMC Act for all States.
- **C - Incorrect:** The platform works within legal arrangements. The option states: e-NAM automatically repealed every APMC statute.
- **D - Incorrect:** CCI's antitrust role differs from market administration. The option states: CCI directly administers all market yards.

Examiner trap 5: State law, central model and electronic platform are separate.

MCQ 6

What does a notified market area ordinarily identify?

A. The national area covered by MSP procurement. B. The territorial perimeter within which specified State-law market provisions apply to notified produce. C. The service area of every FPO in India. D. The jurisdiction of the WTO Agreement on Agriculture.

Answer: B.

Option-wise explanation:

- **A - Incorrect:** Public procurement has a different perimeter. The option states: The national area covered by MSP procurement.
- **B - Correct:** Notification defines commodity and territorial reach. The option states: The territorial perimeter within which specified State-law market provisions apply to notified produce.
- **C - Incorrect:** FPO operations are organisation-specific. The option states: The service area of every FPO in India.
- **D - Incorrect:** WTO jurisdiction is not a State mandi area. The option states: The jurisdiction of the WTO Agreement on Agriculture.

Examiner trap 6: Read the State notification before inferring coverage.

MCQ 7

Unified trader licensing is intended mainly to:

A. Eliminate every trader qualification. B. Turn mandi fees into GST. C. Reduce repeated market-level permissions while preserving applicable compliance and accountability. D. Guarantee the same buyer count in every market.

Answer: C.

Option-wise explanation:

- **A - Incorrect:** Unregulated entry is not the objective. The option states: Eliminate every trader qualification.
- **B - Incorrect:** Market fees and GST are distinct. The option states: Turn mandi fees into GST.
- **C - Correct:** Portability can lower entry friction without ending oversight. The option states: Reduce repeated market-level permissions while preserving applicable compliance and accountability.
- **D - Incorrect:** Participation depends on commercial incentives. The option states: Guarantee the same buyer count in every market.

Examiner trap 7: Licence portability is not automatic competition.

MCQ 8

Which statement best explains economic incidence of a mandi fee?

A. The farmer necessarily bears exactly the stated rate. B. The fee is always identical to commission. C. The fee is a central MSP deduction fixed nationwide. D. The statutory payer may shift some burden through the bid, so legal liability and economic incidence can differ.

Answer: D.

Option-wise explanation:

- **A - Incorrect:** Exact incidence cannot be assumed. The option states: The farmer necessarily bears exactly the stated rate.
- **B - Incorrect:** Commission and statutory fee differ. The option states: The fee is always identical to commission.
- **C - Incorrect:** APMC charges are State-law instruments, not MSP. The option states: The fee is a central MSP deduction fixed nationwide.
- **D - Correct:** Bargaining and market structure shape burden sharing. The option states: The statutory payer may shift some burden through the bid, so legal liability and economic incidence can differ.

Examiner trap 8: Statutory payer is not always the final bearer.

MCQ 9

The Model APMC Act, 2003 is best described as:

- A. A Union reform template for State adaptation, promoting alternative markets, direct purchase and contract farming.
B. A binding constitutional amendment. C. The current national law replacing all State Acts. D. The 2021 statute that repealed the farm laws.

Answer: A.

Option-wise explanation:

- **A - Correct:** It was advisory model legislation. The option states: A Union reform template for State adaptation, promoting alternative markets, direct purchase and contract farming.
- **B - Incorrect:** It did not amend the Constitution. The option states: A binding constitutional amendment.
- **C - Incorrect:** States retained legislative choice. The option states: The current national law replacing all State Acts.
- **D - Incorrect:** The repeal Act is a separate law. The option states: The 2021 statute that repealed the farm laws.

Examiner trap 9: Model text is not operative law by itself.

MCQ 10

Which feature is associated with the Model APLM Act, 2017?

- A. Mandatory universal procurement at MSP. B. A unified State-market approach with e-trading, broader market places, unified licensing and rationalised fees. C. Abolition of all quality standards. D. Transfer of agricultural land to market committees.

Answer: B.

Option-wise explanation:

- **A - Incorrect:** MSP belongs to Topic 12. The option states: Mandatory universal procurement at MSP.
- **B - Correct:** The model sought less fragmented marketing regulation. The option states: A unified State-market approach with e-trading, broader market places, unified licensing and rationalised fees.
- **C - Incorrect:** Standards support trade. The option states: Abolition of all quality standards.
- **D - Incorrect:** Market reform does not transfer farm ownership. The option states: Transfer of agricultural land to market committees.

Examiner trap 10: The 2017 model still requires State adoption.

MCQ 11

The Model Contract Farming Act, 2018 primarily provides:

- A. A national warehouse-receipt repository. B. A compulsory sale of every crop to the sponsor. C. A template for pre-production agreements, farmer safeguards, service terms and dispute resolution. D. A transfer of farmer land title to the contracting firm.

Answer: C.

Option-wise explanation:

- **A - Incorrect:** WDRA governs warehouse receipts. The option states: A national warehouse-receipt repository.
- **B - Incorrect:** Contract quantity follows agreed terms, not all production universally. The option states: A compulsory sale of every crop to the sponsor.
- **C - Correct:** It structures contract relationships without itself binding every State. The option states: A template for pre-production agreements, farmer safeguards, service terms and dispute resolution.
- **D - Incorrect:** Land-transfer protection is a core safeguard. The option states: A transfer of farmer land title to the contracting firm.

Examiner trap 11: A model contract law is not a land-acquisition law.

MCQ 12

Which legal-status sequence is correct?

A. Model text, automatic all-India enforcement, identical State outcome. B. Platform launch, constitutional amendment, State repeal. C. Committee report, Supreme Court decree, universal licence. D. Central model text, State enactment, rules or notifications, institutional capacity, and implementation outcome.

Answer: D.

Option-wise explanation:

- **A - Incorrect:** Model laws do not self-enact nationally. The option states: Model text, automatic all-India enforcement, identical State outcome.
- **B - Incorrect:** Platform and constitutional change are unrelated. The option states: Platform launch, constitutional amendment, State repeal.
- **C - Incorrect:** Recommendations do not become decrees. The option states: Committee report, Supreme Court decree, universal licence.
- **D - Correct:** Each stage has a distinct authority and implementation status. The option states: Central model text, State enactment, rules or notifications, institutional capacity, and implementation outcome.

Examiner trap 12: Never jump from publication to outcome.

MCQ 13

What is the current legal status of the three central farm laws enacted in 2020?

A. They were repealed by the Farm Laws Repeal Act, 2021, which received assent on 30 November 2021. B. They remain fully operative in every State. C. Only the Essential Commodities amendment was repealed. D. They became the Model APLM Act, 2017.

Answer: A.

Option-wise explanation:

- **A - Correct:** The repeal covered all three 2020 laws. The option states: They were repealed by the Farm Laws Repeal Act, 2021, which received assent on 30 November 2021.
- **B - Incorrect:** Repealed provisions are not current law. The option states: They remain fully operative in every State.
- **C - Incorrect:** The repeal package was not partial in that way. The option states: Only the Essential Commodities amendment was repealed.
- **D - Incorrect:** Model legislation has a separate chronology. The option states: They became the Model APLM Act, 2017.

Examiner trap 13: Repeal did not abolish State APMC Acts or e-NAM.

MCQ 14

Who operates e-NAM under the official institutional design?

A. CCI as the national mandi regulator. B. SFAC operates the common platform with Ministry of Agriculture support and State-mandi participation. C. WDRA as the sole commodity exchange. D. Every FPO jointly as statutory owner.

Answer: B.

Option-wise explanation:

- **A - Incorrect:** CCI has a different competition mandate. The option states: CCI as the national mandi regulator.
- **B - Correct:** SFAC is the implementation operator identified in its official FAQ. The option states: SFAC operates the common platform with Ministry of Agriculture support and State-mandi participation.
- **C - Incorrect:** WDRA regulates warehousing. The option states: WDRA as the sole commodity exchange.
- **D - Incorrect:** FPOs may participate but do not jointly own the programme. The option states: Every FPO jointly as statutory owner.

Examiner trap 14: Operator, regulator, State law and participant are different roles.

MCQ 15

Which dated e-NAM statement is accurate?

A. 1,656 means every mandi in India was integrated. B. The count proves every registered farmer traded. C. A PIB backgrounder dated 13 April 2026 reported 1,656 integrated mandis across 23 States and 4 UTs by March 2026. D. The count is an undated permanent statutory threshold.

Answer: C.

Option-wise explanation:

- **A - Incorrect:** It is a programme count, not the national universe. The option states: 1,656 means every mandi in India was integrated.
- **B - Incorrect:** Registration or integration does not prove use. The option states: The count proves every registered farmer traded.
- **C - Correct:** The claim retains source, date and denominator. The option states: A PIB backgrounder dated 13 April 2026 reported 1,656 integrated mandis across 23 States and 4 UTs by March 2026.
- **D - Incorrect:** Administrative counts change over time. The option states: The count is an undated permanent statutory threshold.

Examiner trap 15: Platform reach is not transaction depth.

MCQ 16

Electronic integration becomes genuine market integration only when:

A. All physical markets are closed. B. One common login replaces State law. C. Every commodity has the same quality standard. D. Legal permission, assaying, payment, logistics, title and dispute resolution also interoperate.

Answer: D.

Option-wise explanation:

- **A - Incorrect:** Physical markets remain useful. The option states: All physical markets are closed.
- **B - Incorrect:** Software cannot override law. The option states: One common login replaces State law.
- **C - Incorrect:** Commodity attributes differ. The option states: Every commodity has the same quality standard.
- **D - Correct:** A trade must move from bid to enforceable settlement. The option states: Legal permission, assaying, payment, logistics, title and dispute resolution also interoperate.

Examiner trap 16: Platform-only reform creates a screen-based illusion.

MCQ 17

What does electronic payment improve most directly?

A. Traceability and potential timeliness of settlement, subject to account and reconciliation safeguards. B. Quality of the physical commodity. C. Legal title to every warehouse. D. The number of competing buyers automatically.

Answer: A.

Option-wise explanation:

- **A - Correct:** Payment records strengthen the money leg of trade. The option states: Traceability and potential timeliness of settlement, subject to account and reconciliation safeguards.
- **B - Incorrect:** Quality requires assay. The option states: Quality of the physical commodity.
- **C - Incorrect:** Warehouse title follows receipt rules. The option states: Legal title to every warehouse.
- **D - Incorrect:** Competition requires participation. The option states: The number of competing buyers automatically.

Examiner trap 17: Initiated payment is not final credit.

MCQ 18

Why may an inter-State e-NAM bid fail to become a trade?

A. Inter-State trade is constitutionally impossible. B. Freight, licences, fees, quality acceptance or delivery risk may make the netback unattractive. C. e-NAM permits only local cash sales. D. A higher gross bid always guarantees a higher farm realisation.

Answer: B.

Option-wise explanation:

- **A - Incorrect:** Inter-State trade is possible. The option states: Inter-State trade is constitutionally impossible.
- **B - Correct:** Economic and legal frictions can block physical completion. The option states: Freight, licences, fees, quality acceptance or delivery risk may make the netback unattractive.
- **C - Incorrect:** The platform supports wider trade modes. The option states: e-NAM permits only local cash sales.
- **D - Incorrect:** Costs must be deducted from the gross bid. The option states: A higher gross bid always guarantees a higher farm realisation.

Examiner trap 18: Compare freight-adjusted netback, not headline bid.

MCQ 19

Which statement correctly defines an FPO?

A. It is necessarily a Producer Company only. B. It is any trader association registered in a mandi. C. It is a farmer-member producer organisation that may use more than one eligible legal form. D. It is a government department purchasing MSP crops.

Answer: C.

Option-wise explanation:

- **A - Incorrect:** Producer Company is one legal form. The option states: It is necessarily a Producer Company only.
- **B - Incorrect:** Trader associations are not farmer producer organisations. The option states: It is any trader association registered in a mandi.
- **C - Correct:** FPO is a functional membership umbrella. The option states: It is a farmer-member producer organisation that may use more than one eligible legal form.
- **D - Incorrect:** Procurement agencies have a different role. The option states: It is a government department purchasing MSP crops.

Examiner trap 19: FPO and FPC are not universal synonyms.

MCQ 20

A Farmer Producer Company is currently governed principally through:

A. The Farm Laws Repeal Act, 2021. B. The Warehousing Act, 2007 alone. C. The Model APMC Act, 2003 as binding company law. D. Chapter XXIA, sections 378A-378ZU, of the Companies Act, 2013.

Answer: D.

Option-wise explanation:

- **A - Incorrect:** The repeal statute concerns different laws. The option states: The Farm Laws Repeal Act, 2021.
- **B - Incorrect:** Warehousing law does not incorporate companies. The option states: The Warehousing Act, 2007 alone.
- **C - Incorrect:** A model market law is not company legislation. The option states: The Model APMC Act, 2003 as binding company law.
- **D - Correct:** Chapter XXIA provides the current producer-company route. The option states: Chapter XXIA, sections 378A-378ZU, of the Companies Act, 2013.

Examiner trap 20: Use the current re-enacted statutory location.

MCQ 21

How does a cooperative FPO differ from an FPC?

A. Its governing statute, registration, capital and governance framework arise under applicable cooperative law rather than company law. B. It cannot market produce. C. It has no legal personality in any State. D. It is automatically controlled by SFAC.

Answer: A.

Option-wise explanation:

- **A - Correct:** Similar producer functions can sit under different legal frameworks. The option states: Its governing statute, registration, capital and governance framework arise under applicable cooperative law rather than company law.
- **B - Incorrect:** Cooperatives can undertake marketing. The option states: It cannot market produce.
- **C - Incorrect:** Legal status depends on the applicable statute. The option states: It has no legal personality in any State.
- **D - Incorrect:** SFAC support does not equal ownership. The option states: It is automatically controlled by SFAC.

Examiner trap 21: Compare statutes before asserting voting or surplus rules.

MCQ 22

The main economy-of-scale benefit of an FPO is:

A. Eliminating all production risk. B. Pooling volume and services to lower unit transaction costs and improve buyer or input terms. C. Converting every member's land into common ownership. D. Guaranteeing an MSP sale.

Answer: B.

Option-wise explanation:

- **A - Incorrect:** Weather and production risks remain. The option states: Eliminating all production risk.
- **B - Correct:** Collective volume can spread fixed costs and strengthen negotiation. The option states: Pooling volume and services to lower unit transaction costs and improve buyer or input terms.
- **C - Incorrect:** Aggregation need not pool land title. The option states: Converting every member's land into common ownership.
- **D - Incorrect:** MSP procurement is separate. The option states: Guaranteeing an MSP sale.

Examiner trap 22: Member count must translate into actual throughput.

MCQ 23

Which is the strongest indicator of FPO governance quality?

A. Registration certificate alone. B. A one-time grant alone. C. Transparent accounts, accountable board decisions, active member participation and fair benefit distribution. D. The largest possible inventory regardless of sales.

Answer: C.

Option-wise explanation:

- **A - Incorrect:** Registration is only legal formation. The option states: Registration certificate alone.
- **B - Incorrect:** Grant receipt is not sustainability. The option states: A one-time grant alone.
- **C - Correct:** Governance concerns control, information and member outcomes. The option states: Transparent accounts, accountable board decisions, active member participation and fair benefit distribution.
- **D - Incorrect:** Unsold inventory can destroy value. The option states: The largest possible inventory regardless of sales.

Examiner trap 23: Collective ownership without accountability can produce elite capture.

MCQ 24

Which statement accurately dates the 10,000-FPO scheme?

A. Launched under the repealed 2020 farm laws and ended in 2021. B. It makes every FPO profitable by statute. C. It requires every FPO to be an APMC. D. Launched 29 February 2020; the target was reported achieved on 28 February 2025, with scheme support structured through 2027-28.

Answer: D.

Option-wise explanation:

- **A - Incorrect:** The scheme is institutionally separate from those laws. The option states: Launched under the repealed 2020 farm laws and ended in 2021.
- **B - Incorrect:** Commercial success is not guaranteed. The option states: It makes every FPO profitable by statute.
- **C - Incorrect:** FPO and APMC are different entities. The option states: It requires every FPO to be an APMC.
- **D - Correct:** The dates separate launch, formation milestone and support horizon. The option states: Launched 29 February 2020; the target was reported achieved on 28 February 2025, with scheme support structured through 2027-28.

Examiner trap 24: Formation target is not a viability outcome.

MCQ 25

A well-designed contract-farming agreement should clearly specify:

A. Price or formula, quality test, quantity, services, delivery, payment, force majeure and dispute route. B. Transfer of farmer land title to sponsor. C. A ban on every alternative buyer regardless of law. D. Only the crop name and sponsor logo.

Answer: A.

Option-wise explanation:

- **A - Correct:** Complete terms allocate risk and reduce later ambiguity. The option states: Price or formula, quality test, quantity, services, delivery, payment, force majeure and dispute route.
- **B - Incorrect:** Land protection is essential. The option states: Transfer of farmer land title to sponsor.
- **C - Incorrect:** Exclusivity needs lawful and proportionate terms. The option states: A ban on every alternative buyer regardless of law.
- **D - Incorrect:** Minimal detail cannot govern quality or payment. The option states: Only the crop name and sponsor logo.

Examiner trap 25: Assured buyer does not mean risk-free contract.

MCQ 26

What is the correct view of direct purchase and private markets?

A. Private means legally unregulated. B. They can widen channel choice where State law permits, but still need competition, disclosure, payment and remedies. C. Direct purchase always gives the highest price. D. They automatically eliminate all intermediating functions.

Answer: B.

Option-wise explanation:

- **A - Incorrect:** Private markets remain subject to law. The option states: Private means legally unregulated.
- **B - Correct:** Alternative channels require credible rules and buyer diversity. The option states: They can widen channel choice where State law permits, but still need competition, disclosure, payment and remedies.
- **C - Incorrect:** Price depends on competition and costs. The option states: Direct purchase always gives the highest price.
- **D - Incorrect:** Aggregation and logistics still occur. The option states: They automatically eliminate all intermediating functions.

Examiner trap 26: Choice without contestability can create private monopsony.

MCQ 27

What is WDRA's role?

A. It fixes MSP for warehouse commodities. B. It operates every APMC auction. C. It regulates registered warehouses and the negotiable warehouse-receipt framework under the 2007 Act. D. It is the competition regulator for traders.

Answer: C.

Option-wise explanation:

- **A - Incorrect:** MSP decisions have another institution. The option states: It fixes MSP for warehouse commodities.
- **B - Incorrect:** Market committees operate yards. The option states: It operates every APMC auction.
- **C - Correct:** WDRA's statutory perimeter is warehousing and receipts. The option states: It regulates registered warehouses and the negotiable warehouse-receipt framework under the 2007 Act.
- **D - Incorrect:** CCI handles general competition law. The option states: It is the competition regulator for traders.

Examiner trap 27: Regulated warehouse does not mean government-owned warehouse.

MCQ 28

Which statement about e-NWR is correct?

A. Every informal storage slip is an e-NWR. B. An e-NWR guarantees a bank loan at zero risk. C. Pledging an e-NWR always transfers ownership to the lender immediately. D. For WDRA-registered warehouses, electronic NWR issuance became mandatory from 1 June 2019 through recognised repositories.

Answer: D.

Option-wise explanation:

- **A - Incorrect:** Informal slips lack the regulated framework. The option states: Every informal storage slip is an e-NWR.
- **B - Incorrect:** Lenders still appraise credit and collateral. The option states: An e-NWR guarantees a bank loan at zero risk.
- **C - Incorrect:** Pledge and ownership transfer are distinct. The option states: Pledging an e-NWR always transfers ownership to the lender immediately.
- **D - Correct:** The date and registered-warehouse perimeter are essential. The option states: For WDRA-registered warehouses, electronic NWR issuance became mandatory from 1 June 2019 through recognised repositories.

Examiner trap 28: Receipt, pledge, ownership and commodity are separate.

MCQ 29

Which reform best addresses post-harvest loss?

A. Commodity-specific coordination of handling, packing, storage, transport and processing at the failing stage. B. A universal wastage percentage applied to every crop. C. Only a new mobile application. D. Only higher production regardless of handling.

Answer: A.

Option-wise explanation:

- **A - Correct:** Loss type and chain stage determine the remedy. The option states: Commodity-specific coordination of handling, packing, storage, transport and processing at the failing stage.
- **B - Incorrect:** Loss estimates vary. The option states: A universal wastage percentage applied to every crop.
- **C - Incorrect:** Digital information cannot replace physical controls. The option states: Only a new mobile application.
- **D - Incorrect:** More output may increase unmanaged loss. The option states: Only higher production regardless of handling.

Examiner trap 29: Diagnose quantity loss, quality loss and value loss separately.

MCQ 30

Why do supermarkets not literally eliminate all intermediaries?

A. They purchase without quality standards. B. They internalise or contract aggregation, grading, finance and logistics even when bypassing commission agents. C. They never exercise buyer power. D. They replace all State law with private contracts.

Answer: B.

Option-wise explanation:

- **A - Incorrect:** Retail chains usually specify quality. The option states: They purchase without quality standards.
- **B - Correct:** Functions persist although the performer changes. The option states: They internalise or contract aggregation, grading, finance and logistics even when bypassing commission agents.
- **C - Incorrect:** Buyer concentration can create monopsony risk. The option states: They never exercise buyer power.
- **D - Incorrect:** Private sourcing remains legally bounded. The option states: They replace all State law with private contracts.

Examiner trap 30: Middleman identity can change while intermediation remains.

MCQ 31

Which statement correctly maps competition oversight?

A. CCI writes every State APMC Act. B. APMC committees decide all national cartel cases. C. State market authorities shape mandi architecture, while CCI addresses anti-competitive conduct under the Competition Act where applicable. D. A large buyer is automatically an unlawful cartel.

Answer: C.

Option-wise explanation:

- **A - Incorrect:** State legislatures and authorities control APMC law. The option states: CCI writes every State APMC Act.
- **B - Incorrect:** CCI has the general antitrust mandate. The option states: APMC committees decide all national cartel cases.
- **C - Correct:** Architecture and conduct oversight have different legal homes. The option states: State market authorities shape mandi architecture, while CCI addresses anti-competitive conduct under the Competition Act where applicable.
- **D - Incorrect:** Size alone does not prove prohibited conduct. The option states: A large buyer is automatically an unlawful cartel.

Examiner trap 31: Separate market structure, conduct, evidence and remedy.

MCQ 32

What is the best integrated reform package?

A. Platform expansion alone. B. Repeal of all market institutions alone. C. Compulsory procurement of every crop by FCI. D. State-law interoperability, competitive entry, FPO capacity, trusted assaying, storage finance, logistics, payment and accessible dispute resolution.

Answer: D.

Option-wise explanation:

- **A - Incorrect:** Digital reach needs supporting institutions. The option states: Platform expansion alone.
- **B - Incorrect:** Removal without replacement can leave thin markets. The option states: Repeal of all market institutions alone.

- **C - Incorrect:** Universal procurement is not Topic 13 reform. The option states: Compulsory procurement of every crop by FCI.
- **D - Correct:** The package completes legal, physical and financial links. The option states: State-law interoperability, competitive entry, FPO capacity, trusted assaying, storage finance, logistics, payment and accessible dispute resolution.

Examiner trap 32: Agricultural-market reform is institutions plus infrastructure, not an app.

PYQS AND ANSWER PRACTICE

VERIFIED ROUTED MAINS DEMANDS

These demands are verified through audited official-paper routing ledgers. The formulations below are neutral demand renderings and the solutions are original models, not official UPSC answers.

2018 GS-III ROUTE - SUPERMARKETS AND INTERMEDIARIES

Demand: Examine whether supermarkets can eliminate intermediaries in agricultural marketing.

Model solution: Supermarkets can bypass commission agents through direct sourcing, but aggregation, grading, finance, transport and quality control do not disappear. Retailers internalise these functions or contract them to collection centres and logistics providers. This may reduce repeated handling and improve demand signals. Yet dispersed farmers can face monopsony-like bargaining where only a few organised buyers operate. FPO aggregation, transparent specifications, prompt payment, competing channels and enforceable contracts are therefore essential. The correct conclusion is functional substitution, not the literal disappearance of intermediation.

2020 GS-III ROUTE - TRANSPORT AND MARKETING CONSTRAINTS

Demand: Identify constraints in transporting and marketing agricultural produce.

Model solution: Constraints begin with small, scattered lots, weak first-mile collection, poor packing and limited assaying. Inadequate storage and working capital force harvest-time sales. Unreliable transport, fragmented loads, perishability and missing cold links raise delivered cost. State-level licences, fees and market rules can restrict buyer reach, while thin competition and tied credit weaken bargaining. Digital price information cannot solve these physical and institutional gaps alone. Aggregation, packhouses, scientific storage, warehouse finance, interoperable markets and accountable settlement must advance together.

2022 GS-III ROUTE - UPSTREAM AND DOWNSTREAM BOTTLENECKS

Demand: Discuss upstream and downstream bottlenecks in agricultural marketing.

Model solution: Upstream bottlenecks include fragmented production, uneven quality, poor aggregation, missing extension for standards and inadequate harvest planning. Downstream constraints include assaying, storage, working capital, transport, processing, buyer concentration, payment delay and weak dispute resolution. APMC reform can widen legal choice; e-NAM can improve discovery; FPOs can create scale; WDRA receipts can finance inventory. However, each tool addresses only part of the chain. Reform should measure completed, paid and delivered trades and member benefit rather than portals, licences or registrations alone.

2025 GS-III ROUTE - HIGH-VALUE CROP CHOICE

Demand: Explain factors influencing farmers' selection of high-value crops.

Model solution: Expected net return matters, but farmers also assess water, climate, skill, seed, labour, perishability, buyer specifications and price volatility. High-value crops require reliable collection, grading, cold-chain continuity, processing or retail demand and timely payment. Contract farming or FPO marketing can reduce search and aggregation costs, while weak enforcement can increase rejection risk. Credit and insurance belong mainly to Topic 14 and cold-chain scheme design to Topic 15. Crop choice is therefore a farm-to-market risk decision, not a response to headline price alone.

2025 GS-III ROUTE - SUPPLY-CHAIN MANAGEMENT

Demand: Elaborate the scope and significance of agricultural supply-chain management.

Model solution: Supply-chain management coordinates product, information, money and risk from farmgate through aggregation, grading, storage, transport, processing and final sale. It reduces avoidable loss, matches quality with demand, improves traceability and can expand farmer market access. FPOs create scale; e-NAM supports discovery; WDRA e-NWRs connect inventory with finance. Yet value distribution depends on buyer competition, contracts and governance. Successful management must therefore optimise the whole chain while preserving farmer bargaining and accessible dispute resolution.

OBJECTIVE PYQ ROUTING - KEY WITHHELD WHERE NOT LOCALLY VERIFIED

Year / paper	Routed official-paper demand	Key discipline
2022 Prelims GS-I Q79	Tea Board statutory-body, ministry and overseas-office statements	Answer withheld pending official UPSC key.
2023 Prelims GS-I Q26	Small Farmer Large Field cooperative agricultural concept	Answer withheld pending official UPSC key.

ORIGINAL MAINS PRACTICE WITH MODEL SOLUTIONS

ORIGINAL MAINS 1 - 10 MARKS

Question: Why is e-NAM necessary but insufficient for a national agricultural market? Answer in 150 words.

Model answer:

e-NAM is a common electronic trading and price-information layer operated by SFAC through participating mandis. It can widen bid visibility, create transaction records and reduce dependence on purely local information.

However, software does not create a national market by itself. State law must permit electronic trade and portable participation. Lots need trusted assaying and grading; buyers need title clarity, payment settlement, logistics, delivery acceptance and an accessible dispute route. For bulky or perishable produce, a distant bid may disappear after freight and quality risk are deducted.

The PIB status of 1,656 integrated mandis by March 2026 measures platform reach, not active competition or completed inter-State trade. Therefore reform must join digital connectivity with legal interoperability, quality infrastructure, transport, finance and remedies.

Native-body word count: 142 / 150.

Answer audit: Definition and thesis -> named statutory or institutional evidence -> economic analysis -> qualification -> concise conclusion.

ORIGINAL MAINS 2 - 10 MARKS

Question: Distinguish FPO, Farmer Producer Company and cooperative FPO. Answer in 150 words.

Model answer:

FPO is the functional umbrella: a farmer-member legal entity that aggregates inputs, services, produce or marketing. It does not prescribe one statute.

A Farmer Producer Company is an FPO incorporated under Chapter XXIA of the Companies Act, 2013. The company route provides legal personality, share capital, board governance and producer-oriented objects. A cooperative FPO instead follows the applicable State cooperative law or Multi-State Cooperative Societies law.

All three labels may pursue scale and bargaining, but registration, voting, capital, audit and surplus rules depend on the governing statute and organisational documents. The central 10,000-FPO scheme can support eligible forms; it does not make them legally identical. Registration also does not prove active membership, professional management, working capital or commercial viability.

Native-body word count: 140 / 150.

Answer audit: Definition and thesis -> named statutory or institutional evidence -> economic analysis -> qualification -> concise conclusion.

ORIGINAL MAINS 3 - 15 MARKS

Question: Critically examine the role and limitations of APMC markets in India. Answer in 250 words.

Model answer:

APMC systems are State-law institutions for notified produce, market areas, yards, trader licensing, fees and trade practices. Their original economic role was to create an organised venue with auction, weighment, records, payment norms and dispute channels for dispersed farmers.

These functions remain valuable where private buyer density and enforcement are weak. A common yard lowers search cost, and licensing can improve traceability. Yet performance varies across States. Restricted entry, multiple permissions, opaque fees, congestion and inadequate reinvestment can fragment markets. Local trader concentration, tied credit and perishability may turn formal auctions into weak competition. Mandatory routing can also raise transport and handling costs.

The Union's Model APMC Act, 2003 and Model APLM Act, 2017 promoted private markets, direct purchase, unified licensing, electronic trade and wider market places. They are templates, not binding national statutes; State enactment, rules and capacity determine results. Bihar's repeal and Karnataka's unified-market approach show why legal labels alone cannot establish outcomes.

Reform should preserve useful public-market functions while making entry contestable, fees transparent and licences portable. Assaying, storage finance, logistics, e-payments and quick disputes must accompany legal choice. APMC reform should therefore replace territorial monopoly with accountable competition, not simply remove institutions and assume markets will emerge.

Native-body word count: 221 / 250.

Answer audit: Definition and thesis -> named statutory or institutional evidence -> economic analysis -> qualification -> concise conclusion.

ORIGINAL MAINS 4 - 15 MARKS

Question: Assess e-NAM as an instrument of agricultural-market integration. Answer in 250 words.

Model answer:

The National Agriculture Market, launched in 2016 and operated by SFAC, provides a common electronic layer for participating mandis. Online bidding, price information, assaying support and electronic payment can widen the potential buyer set and improve transaction traceability.

Its scale is substantial but must be dated. A PIB backgrounder of 13 April 2026 reported 1,656 integrated mandis across 23 States and four Union Territories by March 2026, covering 247 commodities. Integration, however, is an administrative platform measure rather than proof that every lot is assayed, sold remotely, paid promptly or moved across States.

Three interoperabilities determine outcomes. Legal interoperability requires State authority for e-trading, valid licences, fee treatment and enforceable title. Physical interoperability requires sampling, common grades, packing, transport, delivery and re-testing. Financial interoperability requires reliable payment, reconciliation, warehouse finance and remedies. Low-value bulky produce and perishables may remain local because freight or spoilage destroys the distant-price advantage.

Performance should therefore be judged by competitive bids, assayed lots, completed delivery, settlement time, farmer netback and dispute resolution, not registration alone. e-NAM is best treated as digital public market infrastructure that complements State-law reform, FPO aggregation, WDRA-linked storage, logistics and local mandi capacity.

Native-body word count: 213 / 250.

Answer audit: Definition and thesis -> named statutory or institutional evidence -> economic analysis -> qualification -> concise conclusion.

ORIGINAL MAINS 5 - 20 MARKS

Question: Evaluate FPOs as a response to smallholder disadvantages in agricultural markets. Answer in 250 words.

Model answer:

Smallholders sell small, heterogeneous lots and face high per-unit costs of information, assaying, transport and negotiation. An FPO can aggregate produce and input demand, create common quality lots, hire professional services, obtain storage or working capital and negotiate with processors, retailers or exporters.

The legal form matters. An FPO may be a Producer Company under Companies Act Chapter XXIA or a cooperative under applicable cooperative law. Governance, capital, voting and audit rules therefore cannot be generalised. The Central Sector Scheme launched on 29 February 2020 supported formation, handholding, equity and credit guarantees; PIB reported the 10,000 target achieved on 28 February 2025, with support architecture extending through 2027-28.

Formation is only the first stage. Commercial viability requires active member supply, reliable quality, working capital, capable management, repeat buyers and transparent benefit distribution. Side-selling can weaken volumes, while inventory price falls or buyer default can damage the balance sheet. Grant dependence, elite capture and weak board oversight can distance the enterprise from members.

Policy should measure throughput, repeat transactions, prompt member payment and net benefit rather than registrations. Cluster design must follow viable commodities and market demand. FPOs are institutions for scale and bargaining, but they complement rather than replace competition, infrastructure, credit appraisal and State capacity.

Native-body word count: 227 / 250.

Answer audit: Definition and thesis -> named statutory or institutional evidence -> economic analysis -> qualification -> concise conclusion.

ORIGINAL MAINS 6 - 20 MARKS

Question: Design an integrated reform strategy for India's agricultural supply chains. Answer in 250 words.

Model answer:

Reform should begin with the complete chain: farmgate aggregation, quality measurement, competitive discovery, settlement, storage, finance, logistics, processing and final demand. A failure at any link lowers farmer net realisation.

First, States should adapt market law to permit contestable public, private, direct and electronic channels, with unified licensing, transparent single-point fees and accessible disputes. Central model Acts remain advisory; enactment and rules must reflect local commodities and safeguards. CCI can address anti-competitive conduct where its statute applies, while State authorities remain responsible for mandi architecture.

Second, e-NAM should be deepened from onboarding to completed trade through accredited assaying, common data standards, electronic payment, logistics and delivery acceptance. Third, FPOs need member equity, accountable boards, professional management, working capital and repeat buyers, not registration alone. Fourth, WDRA e-NWRs can connect scientific storage with pledge finance, provided warehouse quality and lender confidence are credible.

Perishable chains require packhouses and uninterrupted cold movement, whose detailed scheme design belongs to Topic 15. Export and organised-retail channels need traceability and balanced contracts. MSP and public procurement remain Topic 12; production credit and insurance remain Topic 14.

Success should be measured by freight-adjusted farmer netback, lower loss, timely payment, buyer participation and effective remedies. Agricultural-market reform is institutions plus infrastructure and standards, not platform expansion alone.

Native-body word count: 230 / 250.

Answer audit: Definition and thesis -> named statutory or institutional evidence -> economic analysis -> qualification -> concise conclusion.